

located, plus who was willing to sell and at what price. The actual Bankers Trust orders, however, were not executed here. They were routed through the regular brokerage houses so that Bankers Trust could pay the commissions and thereby reward the brokerage-house analysts who'd given the best advice and deserved the highest grades.

I said I'd love to be in his shoes—with all that intelligence behind you how could you lose? Mr. Platt laughed. Then he confided that the portfolio manager is on shaky footing, and must look over his shoulder at the other portfolio managers, plus stay awake nights worrying if he's going to lose his job. In fact, the dozen or so portfolio managers at Bankers Trust had made a recent pact to all buy the same stocks, so nobody would look bad compared with the others, thus avoiding what Mr. Platt called "diverse performance."

"Our agreement works this way," he said, "I hear from all my sources, make a recommendation on what stocks to purchase, then write it up. The other portfolio managers do the same. Then we get together and vote on our recommendations. Basically, whatever is approved we put in all our portfolios."

You'd think a portfolio manager would welcome diverse performance, but Mr. Platt convinced me they'd gladly forgo the chance at relative glory in return for reasonable job security. They'd rather go up and down together for the following good reason: "If a client hears that another portfolio manager did better than me during the last quarter, then he might consider switching to that other manager. Clients demand results, and results is what they pay us for."

As I got further into Mr. Platt's obvious worries about his competition and about quarterly results, I began to wonder if the average investor for all his ignorance isn't better off than these gods of the marketplace. Instead of the conquering ego I'd expected to meet, I got the feeling that Mr. Platt was just as nervous as the rest of us, and often forced by circumstance into following the crowd. In fact, he'd said so much about the foibles of portfolio managing that by the time he told me he wasn't buying Gillette I was almost glad.

When he mentioned that "portfolio managers have a hard time